

ECONOMY

LECTURES



RBI & MONETARY POLICY

MODULE - 18

LET US LOOK AT SOME CENTRAL BANKS ACROSS THE WORLD !



WHAT DO YOU KNOW ABOUT BIS?



BANK FOR
INTERNATIONAL SETTLEMENTS

BIS is headquartered at Basel, Switzerland with representative offices in Hong Kong & Mexico City

PREAMBLE OF RESERVE BANK OF INDIA



“To regulate the issue of bank notes and keeping of reserves with a view to secure monetary stability in India and generally to operate the currency and credit system of the country to its advantage”

SALIENT POINTS

- As per RBI Act, 1934
 - Established on April 1, 1935
 - Initial headquarters is in Calcutta
 - Shifted to Mumbai in 1937
 - Originally privately owned
- Nationalized in 1949
 - Fully owned by Government of India
 - Office is on Mint Street, Mumbai
 - Governed by the Central Board of Directors





CENTRAL BOARD OF DIRECTORS

OFFICIAL

- Governor
- 4 Deputy Governors

NON - OFFICIAL

- 10 Directors from various fields
- 4 Directors ... one each from local boards
- 2 Govt. officials

LEGAL / STATUTORY FRAMEWORK

IMPORTANT ACTS

- RBI Act, 1934
- Public Debt Act, 1944 / Govt. Securities Act, 2006
- Payment and Settlement Systems Act, 2007
- Banking Regulation Act, 1949
- SARFAESI Act, 2002

OTHER ACTS

- Negotiable Instruments Act, 1881
- SBI Act, 1955
- Companies Act, 1956 / Companies Act, 2013
- DICGC Act, 1961
- Banking Companies Act, 1970
- Banking Companies Act, 1980
- NABARD Act, 1981
- NHB Act, 1987
- RRBs Act, 1976

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MAIN FUNCTIONS



1

Monetary Authority

2

**Regulator and supervisor of
the financial system**

3

**Manager of Foreign
Exchange**

4

Issuer of currency

5

**Banker to the Govt. and
Scheduled Banks**

6

Developmental functions

FULLY OWNED SUBSIDIARIES OF RBI





ENTITIES REGULATED BY RBI

COMMERCIAL BANKS

All types of
Commercial Banks

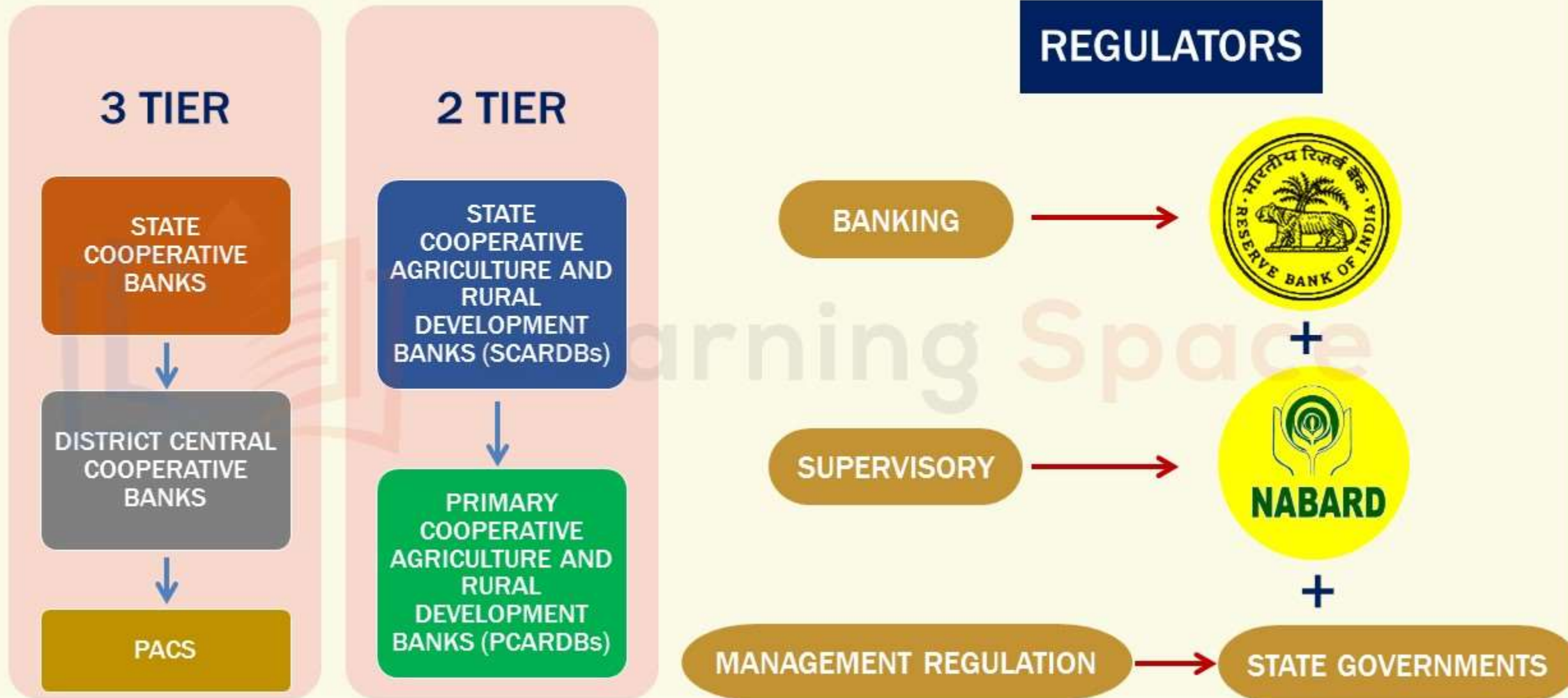
SOME NBFCs

Factoring
Companies

Micro-Finance
Institutions

Asset
Reconstruction
Companies

RURAL COOPERATIVES



URBAN COOPERATIVES

SINGLE STATE



(BANKING REGULATION)

STATE
GOVERNMENTS

(MANAGEMENT REGULATION)

MULTI STATE



(BANKING REGULATION)



(MANAGEMENT REGULATION)

ECONOMY



**SMALL SAVINGS
SCHEMES**



**NON BANKING -
NON FINANCIAL COMPANIES**





FINANCIAL ENTITIES CONTROLLED BY SEBI

Investment Banks

Capital Markets

Stock Brokers

REITs

Mutual Funds

Alternative Investment Funds

Commodities Futures / Options

Stock Exchanges

InvITs

Collective Investment Schemes with corpus of Rs. 100 cr or more

INVESTMENT BANKS



BNP PARIBAS

citibank



Deutsche Bank

CREDIT SUISSE



HSBC



JPMorganChase



ECONOMY



MONETARY POLICY



1 RESERVE RATIOS

- CRR
- SLR

2 POLICY RATES

- REPO
- REVERSE REPO
- MSF
- BANK RATE

3 OPEN MARKET OPERATIONS

- BUYING & SELLING OF GOVT. SECURITIES (BONDS)

“ TO PRESERVE



INTRINSIC VALUE OF RUPEE”

“INDIRECTLY TO CONTROL INFLATION”

ECONOMY



MONETARY POLICY

1 RESERVE RATIOS

NOTE



From June 24 , 2017
SLR will be 20% only

CRR

- This is as per section 42(1) of the RBI Act, 1934. {Amended through RBI (Amendment) Act, 2006}
- Scheduled Banks are required to maintain certain percentage of NDTL in cash form with a special account with RBI.
- For securing monetary stability in the country.
- No floor & No ceiling rate.

SLR

- This is as per section 24 of the Banking Regulation Act, 1949. {This was amended through the Banking Regulation (Amendment) Act, 2007}
- No floor rate, but the ceiling is 40%.
- To be maintained in cash, gold & approved securities.
- To hold certain percentage of NDTL in the above forms as prescribed from time to time.

ECONOMY

CASE - 1

IF CRR IS DECREASED BY 1%



Rs. 90,000 crore



State Bank of India
THE BANKER TO EVERY INDIAN



बैंक ऑफ़ बड़ौदा
Bank of Baroda



ICICI Bank
khayaal aapka



ANDHRA BANK



इंडियन बैंक
Indian Bank
Taking Banking Technology to the Common Man



सेन्ट्रल बैंक ऑफ़ इंडिया
Central Bank of India

1911 से आपके लिए "सेन्ट्रल" "CENTRAL" TO YOU SINCE 1911

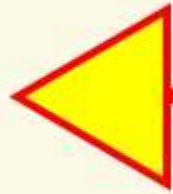


AXIS BANK

ECONOMY

CASE - 2

IF CRR IS INCREASED BY 1%



Rs. 90,000 crore

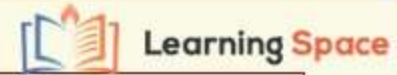


ECONOMY

CASE - 1

IF SLR IS DECREASED BY 1%

NOTE



From June 24 , 2017
SLR will be 20% only



सत्यमेव जयते

Rs. 90,000 crore



State Bank of India
THE BANKER TO EVERY INDIAN



बैंक ऑफ़ बड़ौदा
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ANDHRA BANK



सिंडिकेट बैंक
Syndicate Bank



इंडियन बैंक
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Taking Banking Technology to the Common Man



सेन्ट्रल बैंक ऑफ़ इंडिया
Central Bank of India

1911 से आपके लिए "सेन्ट्रल" "CENTRAL" TO YOU SINCE 1911



AXIS BANK

ECONOMY

CASE - 2

IF SLR IS INCREASED BY 1%



सत्यमेव जयते



Rs. 90,000 crore



ECONOMY



MONETARY POLICY



2 POLICY RATES



REPO RATE

- ✓ This is the rate of interest the RBI charges from its clients (mostly SCBs) for short term borrowing.
- ✓ Basically to adjust liquidity in banks' day to day operations.
- ✓ Most of the western economies call it "rate of discount."
- ✓ It is the benchmark rate for inter bank short term market (i.e. call money market) in India.
- ✓ Banks normally use this route for one day borrowing to fulfill short term liquidity crunch.
- ✓ Higher the repo rate, costlier the loans will become.

REVERSE REPO RATE

- ✓ Banks park additional funds with RBI under LAF.
- ✓ This will be for short term and they also earn interest.
- ✓ This facility can be used by banks in case of surplus funds and interest rates are low.

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MONETARY POLICY



2 POLICY RATES



MARGINAL STANDING FACILITY

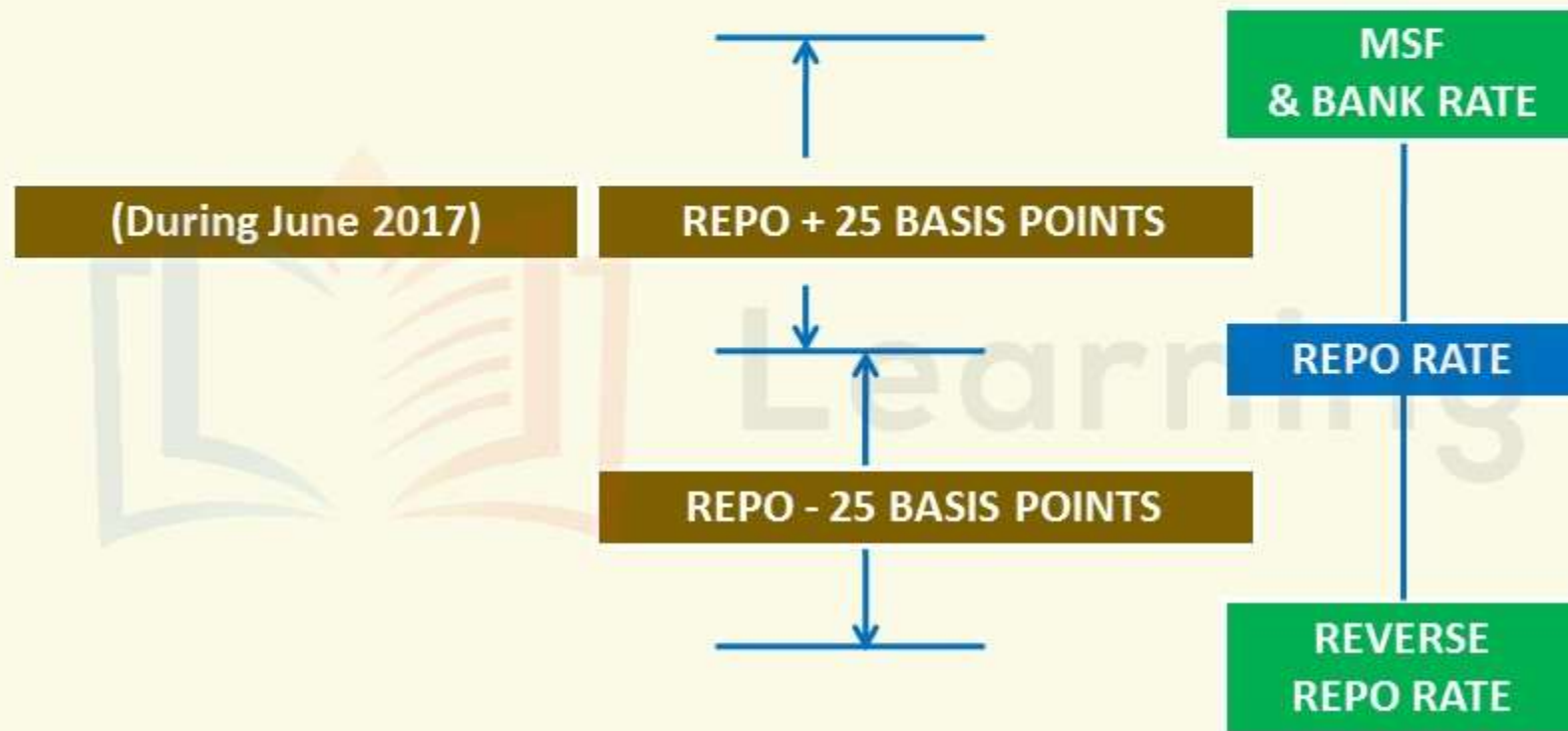
- ✓ This came into existence with effect from 9th May, 2011.
- ✓ This is the last resort for banks at higher rate.
- ✓ It is introduced by RBI to reduce volatility in overnight lending rates in inter-bank market and to ensure smooth monetary transmission in financial system.
- ✓ Minimum amount which can be accessed through MSF is Rs. 1 crore and can be in multiples of Rs. 1 crore.

BANK RATE

- ✓ The interest rate which the RBI charges for its long term lending is known as bank rate.
- ✓ Normally Banks, Financial institutions utilise this facility.
- ✓ This has got direct bearing on the long-term lending activities of the Financial system.
- ✓ This was realigned with MSF from February 2012.

POLICY RATES

WHERE DO THEY STAND?



NOW REPO RATE STANDS AS BASIS FOR ALL OTHER POLICY RATES

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MONETARY POLICY

3 OPEN MARKET OPERATIONS

CASE - 1



RBI SELLS BONDS



Government Securities



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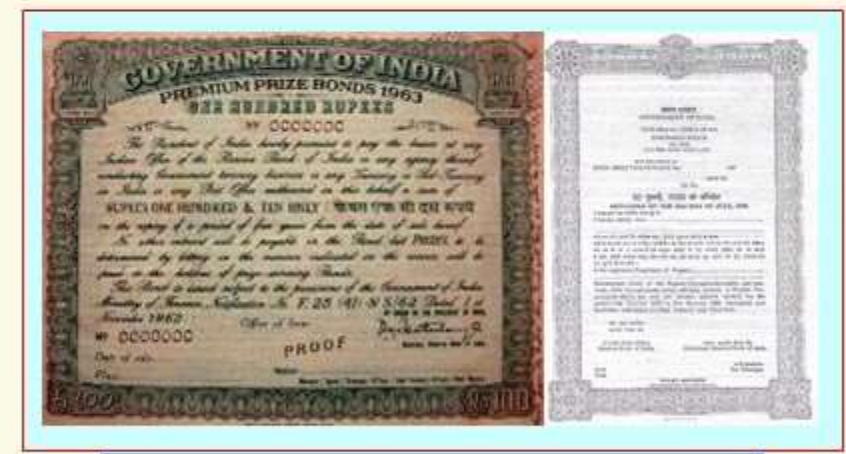
MONETARY POLICY

3 OPEN MARKET OPERATIONS

RBI PURCHASES BONDS

Government Securities

CASE - 2





QUANTITATIVE CREDIT CONTROLS



QUALITATIVE (SELECTIVE) CREDIT CONTROLS



1. Policy Rates

- Repo & Reverse Repo Rates
- MSF and Bank Rate

2. Reserve Ratios

- CRR
- SLR

3. Open Market Operations

1. Margin requirements

2. Rationing of credit

3. Regulation of consumer credit

4. Moral suasion

5. Direct action

6. RBI guidelines



WHAT ABOUT ADVANCED ECONOMIES?

WITH CONVENTIONAL MONETARY POLICIES ...

1

GDP is not taking off on
expected lines

2

Inflation is not reaching
desired levels

3

Rise in unemployment
levels



BANK OF JAPAN

*Because of above reasons, they are
resorting to easy money policies...*

ECONOMY

EASY MONEY POLICIES OF ADVANCED COUNTRIES



BANK OF JAPAN



1 QUANTITATIVE EASING



It results in reduction in interest rates by increasing the money supply.



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EASY MONEY POLICIES



2 KEEPING INTEREST RATES ABYSMALLY LOW FOR LONGER DURATIONS



BANK OF JAPAN



美國第一銀行
First Commercial Bank (USA)

BA
Bank of America



**MORE CREDIT
FLOW**



ECONOMY

EASY MONEY POLICIES

3 NEGATIVE INTEREST RATE POLICIES



BANK OF JAPAN



NATIONAL BANK
OF GREECE



CORPORATE
COMMERCIAL BANK

(Cost of borrowings
for companies will
be abysmally low)



(Negative interest
on Deposits)



This is being employed in periods
of “deflation”/ very low inflation,
when companies are not
interested in investments.



ECONOMY

EASY MONEY POLICIES



4

HELICOPTER MONEY



BANK OF JAPAN



PRINTING MORE CURRENCY



ECONOMY

EASY MONEY POLICIES



5 "TERM FUNDING SCHEME".

TERM FUNDING SCHEME

A plan to give banks upto
£ 100 bn of loans at
advantageous terms, so
long as they lend money
to businesses and
consumers.



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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